MICROSOFT **OUTPERFORM**

MSFT US ▪ PRICE USD531.0* ▪ TARGET PRICE **USD632** (UPSIDE 19%)

TARGET PRICE	EPS 06/29e	EPS 06/30e
↗ 5%	↘ -1%	↘ -2%

FQ1'27 postview: Azure & M365 accelerating. Capex to follow

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Microsoft continuing to deliver AI acceleration at scale

Microsoft delivered another strong quarter against a rising bar of investor expectations heading into the print, highlighted by 48% CCY Azure growth (vs. guidance of 44 – 45%, and buyside expectations of ~47%) and M365 Commercial Cloud growth of 18% CCY. More importantly, the company's FQ2 outlook calls for further acceleration, with Azure growth of 49 – 50% and M365 Commercial Cloud growth of 19% CCY (with consumption revenues likely layering throughout the fiscal year). We continue to believe these results further cement Microsoft's position as one of the companies demonstrating true AI-drive revenue acceleration at scale and we remain Outperform.

Capital markets commentary may signal faster ramping capex to support demand

Management suggested Microsoft could eventually tap the capital markets to help finance its infrastructure expansion (as well as funding the dividend and buybacks, we assume). While management reiterated its commitment to remaining FCF positive in FY27 and emphasized the flexibility afforded by its balance sheet, the prospect of raising external capital does raise questions around the ultimate scale of Microsoft's spending ambitions in CY27 and beyond. We now forecast Microsoft generating positive FCF in H1 FY27, but we believe that could turn negative in H2 FY27, with limited FCF generation in FY'28 assuming the capex trajectory continues into the next fiscal year. We note management's commentary appears to hint at a preference for debt over equity, although the magnitude of a potential raise is unclear at this time.

Raising our revenue and capex estimates and increasing TP to $632 (vs. $604 previously)

We increase our FY27 revenue estimates by ~0.5% driven by higher Azure growth assumptions. We raise our FY28 / FY29 cash capex estimates by 9% / 16%, respectively. EPS is slightly lowered due to higher debt assumptions. We increase our TP to $632 on a higher P/E multiple (29x vs. 27.5x previously) given greater visibility into revenue re-acceleration. Microsoft will host investors at its Ignite Conference next month, but we expect that session to focus on strategy and technology.

Microsoft (+)	MSFT US
*Closing Price (28 October 2026)	USD531.0
Volume (USDm / EURm)	12,485.0 / 11,207.9
Market cap (USDbn / EURbn)	3,926.5 / 3,524.9
Free float (USDbn / EURbn)	3,923.4 / 3,522.0
EV (USDbn / EURbn)	3,884.0 / 3,486.7
Country / Sub Sector	USA / Software

Performance[1]	1w	1m	3m	12m
Absolute(%)	(0)	4	35	(1)
Rel. Software(%)	(1)	(1)	3	2
Rel. MSCI USA(%)	(0)	3	30	(13)

Financials	06/27e	06/28e	06/29e	06/30e
EPS, Adjusted (USD)	20.2	23.6	27.8	33.1
EPS, Company (USD)	19.96	23.42	27.67	33.01
EPS - Bloomberg (USD)	19.7	23.5	28.8	33.0
Net dividend (USD)	4.0	4.3	4.8	5.2
Sales (USDm)	396,540	473,554	562,988	663,036
EBITA, Adj. (USDm)	189,651	222,686	264,547	312,426
Net profit, Adj.(USDm)	150,177	174,244	203,993	240,912
ROCE (%)	25.3	22.6	21.5	21.5
Net Debt/EBITDA, Adj. (x)	-	0.0	0.1	0.1

Valuation metrics	06/27e	06/28e	06/29e	06/30e
P/E (x)	26.3	22.5	19.1	16.0
Net yield (%)	0.7	0.8	0.9	1.0
FCF yield (%)	0.1	0.0	0.7	2.2
EV/Sales (x)	9.8	8.3	7.0	5.8
EV/EBITDA (x)	16.1	12.8	10.2	8.2
EV/EBITA (x)	20.5	17.6	14.8	12.4
EV/CE (x)	6.5	5.0	4.0	3.3

All valuation metrics based on adjusted figures

Source: BNP Paribas Equity Research (estimates), Bloomberg (consensus) (1) In listing currency, with dividend reinvested

See page 10 for Analyst Certification, Important Disclosures, Non-US Research Analyst disclosures and BNP Paribas Group Corporate Social Responsibility ("CSR") policies.
*BNP Paribas has adopted strict CSR policies that govern financing and investment in certain sectors. For time of dissemination, please refer to the Cube. *Closing Price (28 October 2026). (1) FINRA member firm and broker-dealer registered with the U.S. Securities Exchange Commission*

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FQ1’27 results recap

Figure 1: Azure grew 48% CCY (vs. Cons of 45% and guidance of 44-45%) in FQ1’27, and M365 Commercial Cloud grew 18% CCY (vs. 17% guidance)

BNP Paribas vs. Consensus Overview Consensus updated on:	FQ1'27 Actual	FQ1'27 Guide	FQ1'27 Actual vs. High	FQ1'27 Cons.	FQ1'27 Actual vs. Cons.	FQ1'27 BNPP
Group Highlights						
Group Revenue	**92,279**	89,850 - 90,950	1.5%	90,626	1.8%	91,184
Growth y.y. - Reported	**18.8%**	15.7% - 17.1%		16.7%	+2.1pp	17.4%
Growth y.y. - CCY	**19.0%**	16.4% - 17.8%		17.0%	+2.0pp	18.2%
Gross Income - GAAP	**62,559**	60,250 - 61,150	2.3%	60,092	4.1%	61,500
Gross Margin - GAAP	**67.8%**	67.1% - 67.2%	+0.6pp	66.3%	+1.5pp	67.4%
Operating Income - GAAP	**45,915**	43,450 - 44,250	3.8%	43,916	4.6%	44,382
Operating Margin - GAAP	**49.8%**	48.4% - 48.7%	+1.1pp	48.5%	+1.3pp	48.7%
Net Income	**36,629**			35,162	4.2%	35,393
EPS - Dil (GAAP)	**4.92**			4.72	4.2%	4.76
CFO	**58,000**			53,905	7.6%	51,430
Capex	**(39,367)**			(45,934)	(14.3%)	(48,784)
FCF	**18,633**			8,526	118.5%	2,647
Azure Growth y.y. - CCY	**48%**	44 - 45%		45%	+3.0pp	46%
Segment - Agents and Infra NEW						
Revenue Segment - Agents and Infra NEW	76,795	75,150 - 75,750	1.4%	75,606	1.6%	75,961
Growth y.y. - Reported	24.5%	21.9% - 22.8%		22.6%	+0.1pp	23.2%
Growth y.y. - CCY	25.0%	22.9% - 23.8%				24.2%
Segment - Devices & Consumer NEW						
Revenue Segment - Devices & Consumer NEW	15,484	14,700 - 15,200	1.9%	15,036	3.0%	15,224
Growth y.y. - Reported	(3.2%)	(8.1%) - (5.0%)		-6.0%	(0.5pp)	-4.9%
Growth y.y. - CCY	(3.0%)	(8.1%) - (5.0%)				(4.9%)

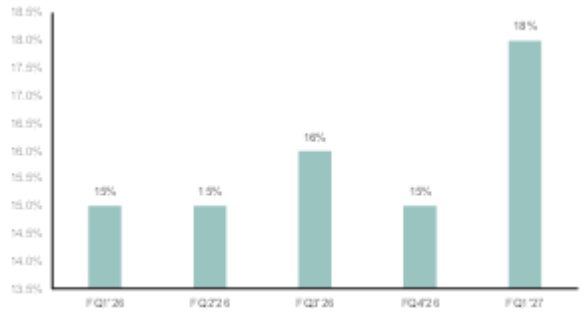
Source: BNP Paribas Equity Research estimates, Bloomberg Consensus pre-Q

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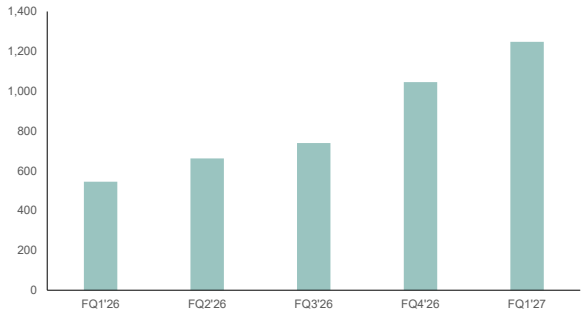
Key Charts for Microsoft

Figure 2: M365 Commercial Cloud growth accelerated in FQ1'27, likely aided in part by ramping GitHub Copilot revenues

M365 Commercial Cloud CCY growth



GitHub Copilot revenues ($m)



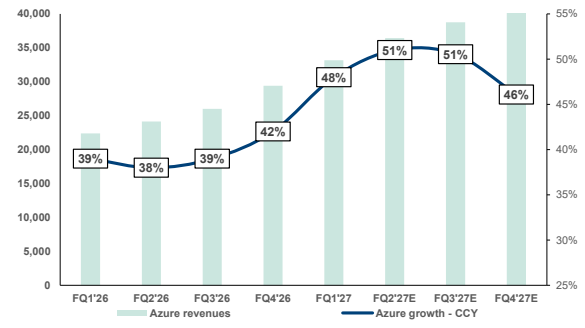
Source: Company reports, BNP Paribas Equity Research estimates

Figure 3: Azure grew 48% CCY in FQ1'27 while Commercial RPO was largely flat q.q.

Commercial RPO and y.y growth



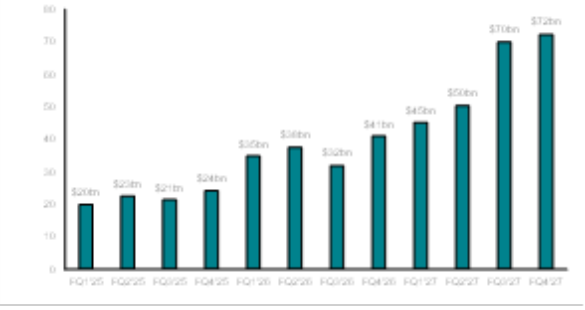
Azure revenue ($m) and CCY growth



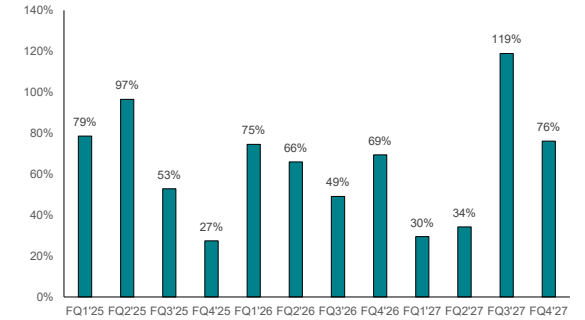
Source: BNP Paribas Equity Research estimates

Figure 4: CY26 capex is now expected to be ~$170bn due to 3P capacity delays, with capex growth re-accelerating in H2 FY27

Capex including finance leases



Capex including finance leases growth (y.y)



Source: Company reports, BNP Paribas Equity Research estimates

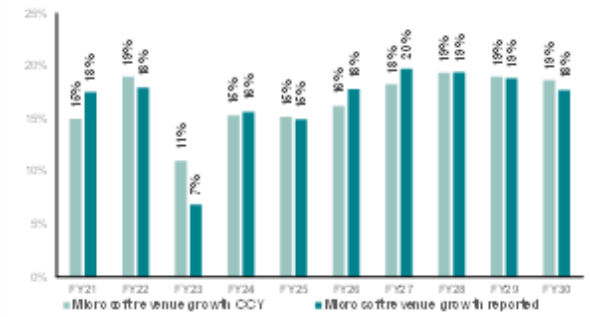
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Microsoft Business Overview Charts

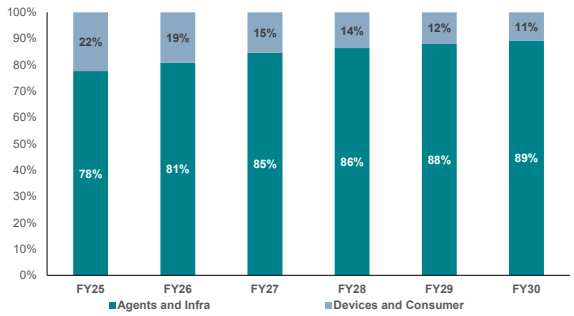
Figure 5: Group and Segment Growth drivers

Key charts for Microsoft

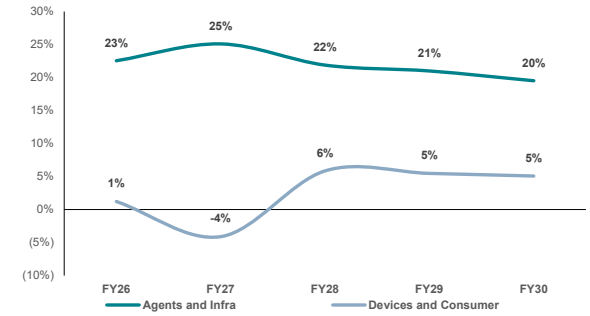
Group Revenue growth (%)



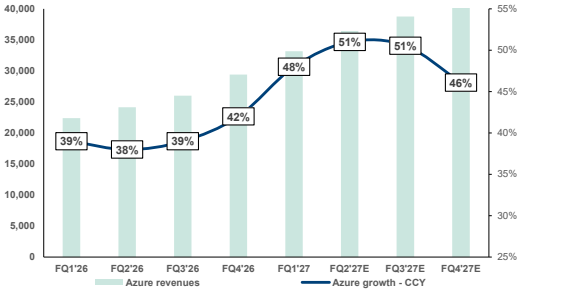
Segment split (%)



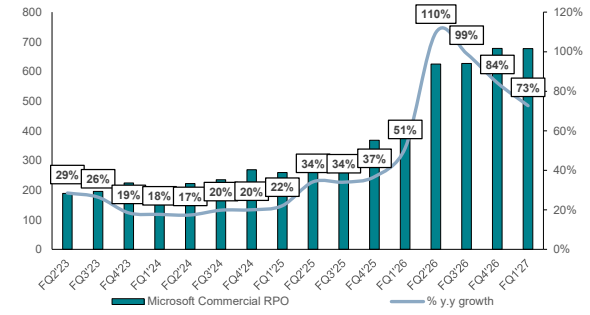
Segment growth (%)



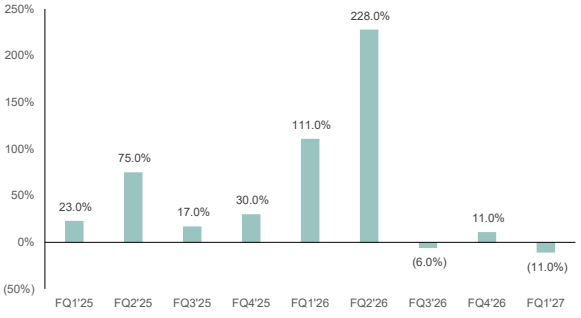
Azure revenue and CCY growth



Commercial RPO



Commercial bookings y.y. growth



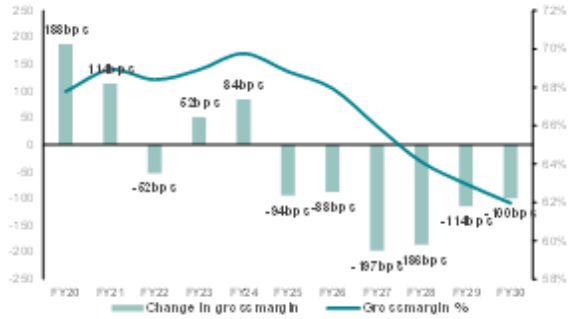
Source: BNP Paribas Equity Research estimates

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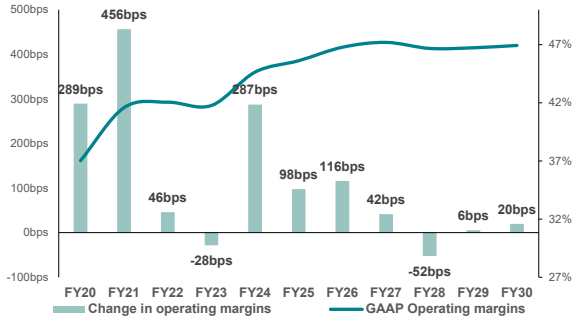
Figure 6: Profitability and EPS

Key charts for Microsoft

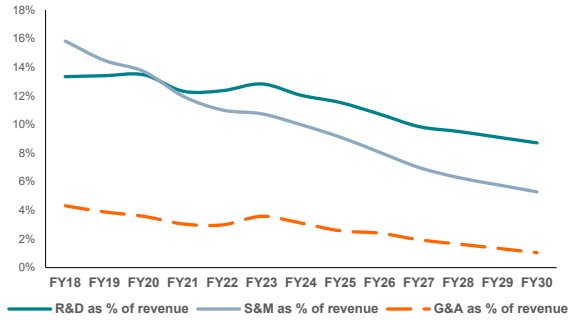
Gross margin (%)



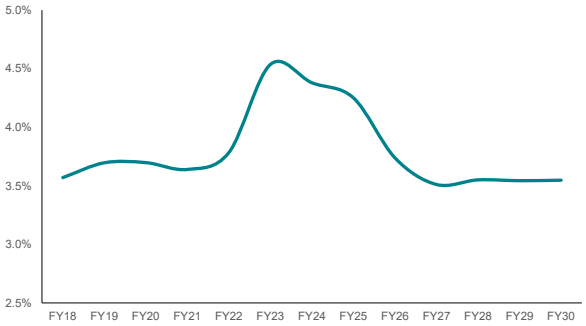
EBIT margin (%)



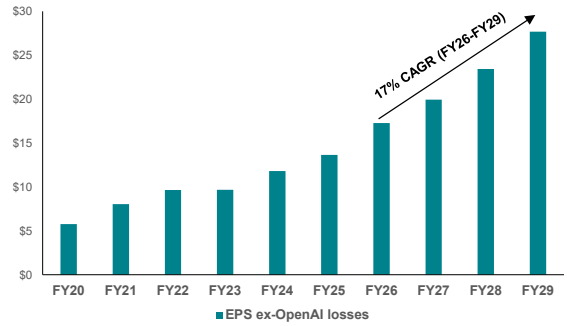
GAAP Opex as % Revenue



SBC as % Revenue



EPS and EPS growth

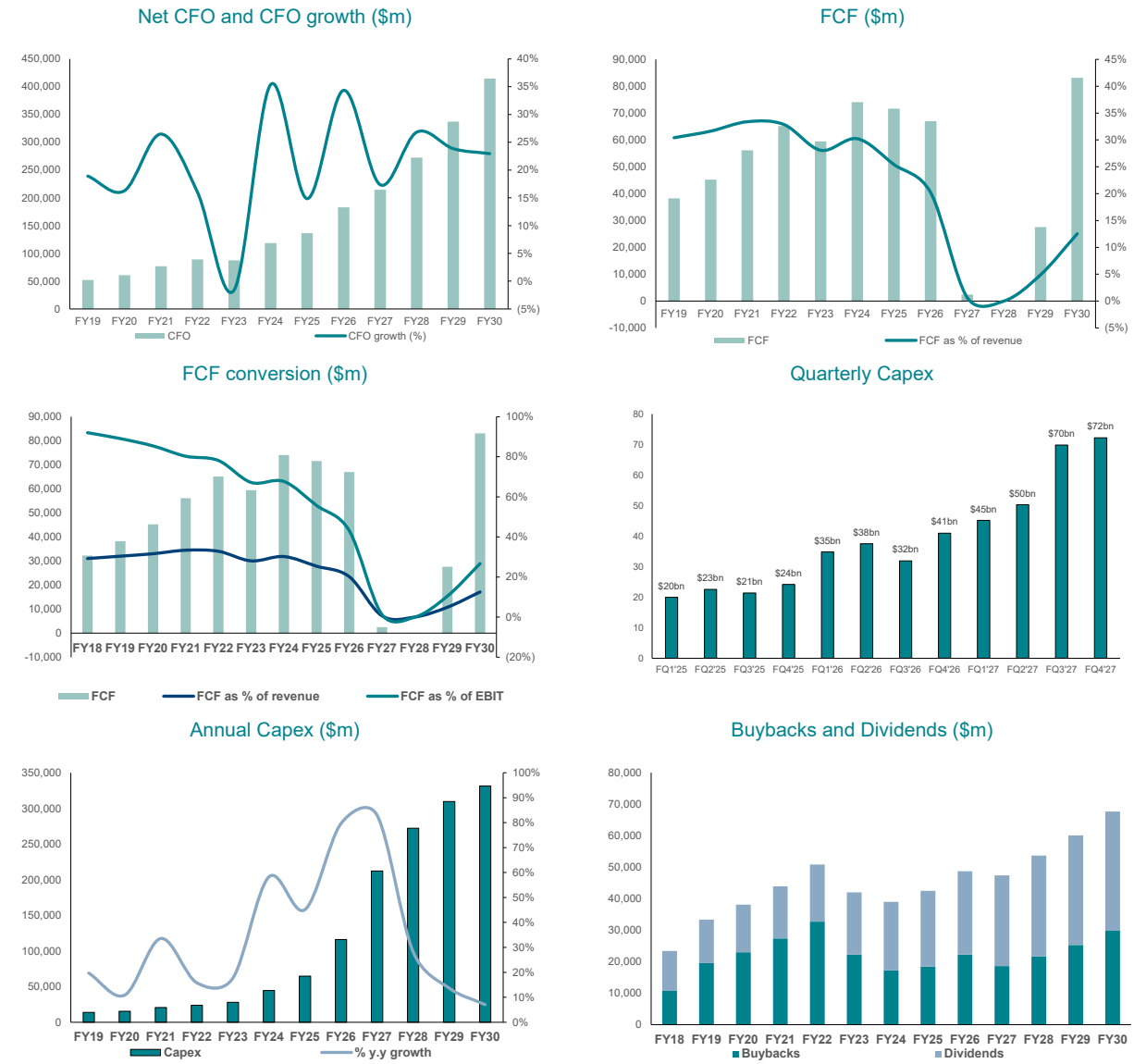


Source: BNP Paribas Equity Research estimates

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Figure 7: Cashflow and returns

Key charts for Microsoft



Source: BNP Paribas Equity Research estimates

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Estimate changes

Figure 8: We increase our revenue and EPS estimates for FY27 by ~0.5%, driven largely by our increased Azure outlook. We now forecast 49% CCY Azure growth for the fiscal year. We also meaningfully increase our capex estimates in FY28 onwards to reflect greater investments into AI infrastructure

BNP Paribas Old vs New estimates

BNP Paribas Old vs. New Overview		FY27	FY27	FY27	FY28	FY28	FY28	FY29	FY29	FY29
		Old	New	Chg.	Old	New	Chg.	Old	New	Chg.
Group Highlights										
Group Revenue	USDm	394,550	396,540	0.5%	471,400	473,554	0.5%	559,804	562,988	0.6%
Growth y.y. - CCY	%	19.6%	20.4%	+0.8pp	19.5%	19.4%	(0.1pp)	18.8%	18.9%	+0.1pp
Operating Income - GAAP	USDm	184,332	187,156	1.5%	219,282	221,035	0.8%	260,725	263,098	0.9%
Operating Margin - GAAP	%	46.7%	47.2%	+0.5pp	46.5%	46.7%	+0.2pp	46.6%	46.7%	+0.2pp
Operating Income - BNPP adj. (EBITA)	USDm	186,669	189,651	1.6%	220,940	222,686	0.8%	262,179	264,547	0.9%
Net Income	USDm	146,569	148,312	1.2%	172,986	172,923	(0.0%)	205,430	202,834	(1.3%)
EPS - Dil (GAAP)	USD p/sh	19.76	19.96	1.0%	23.47	23.42	(0.2%)	28.07	27.67	(1.4%)
EPS - Dil (BNPP adj.)	USD p/sh	20.01	20.21	1.0%	23.65	23.60	(0.2%)	28.23	27.83	(1.4%)
CFO	USDm	217,830	214,685	(1.4%)	271,158	272,263	0.4%	334,686	337,204	0.8%
Capex	USDm	214,804	212,227	(1.2%)	249,924	272,294	9.0%	265,907	309,643	16.4%
FCF	USDm	3,026	2,457	(18.8%)	21,234	(30)	(100.1%)	68,778	27,560	(59.9%)
Segment - Agents and Infra NEW										
Revenue Segment - Agents and Infra	USDm	332,206	335,446	1.0%	405,438	408,876	0.8%	490,282	494,760	0.9%
Growth y.y. - Reported	%	23.9%	25.1%	+1.2pp	22.0%	21.9%	(0.2pp)	20.9%	21.0%	+0.1pp
Growth y.y. - CCY	%	24.6%	26.0%	+1.4pp	22.0%	21.9%	(0.2pp)	20.9%	21.0%	+0.1pp
Azure	***USDm***	***148,007***	***150,917***	**2.0%**	***200,945***	**204,101**	**1.6%**	***263,990***	**268,187**	**1.6%**
Growth y.y. - Reported	***%***	***45.2%***	***48.0%***	***+2.9pp***	***35.8%***	**35.2%**	***(0.5pp)***	***31.4%***	**31.4%**	***+0.0pp***
Growth y.y. - CCY	***%***	***45.9%***	***48.8%***	***+2.9pp***	***35.8%***	**35.2%**	***(0.5pp)***	***31.4%***	**31.4%**	***+0.0pp***
Microsoft 365 Cloud	*USDm*	*117,439*	*118,237*	0.7%	*136,893*	137,879	0.7%	*157,949*	159,135	0.8%
Growth y.y. - Reported	*%*	*17.1%*	*17.9%*	*+0.8pp*	*16.6%*	16.6%	*+0.0pp*	*15.4%*	15.4%	*+0.0pp*
Segment - Devices and Consumer NEW										
Revenue Segment - Devices and Consumer	USDm	62,344	61,094	(2.0%)	65,963	64,679	(1.9%)	69,523	68,228	(1.9%)
Growth y.y. - Reported	%	-2.1%	(4.1%)	(2.0pp)	5.8%	5.9%	+0.1pp	5.4%	5.5%	+0.1pp
Growth y.y. - CCY	%	-1.7%	(3.4%)	(1.7pp)	5.8%	5.9%	+0.1pp	5.4%	5.5%	+0.1pp

Source: BNP Paribas Equity Research estimates

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Valuation

Figure 9: We increase our TP to $632 (vs. $604 previously). We value MSFT using a 29x FY28 P/E multiple (vs. 27.5x previously) as we have greater confidence in the revenue re-acceleration and embed Microsoft's stake in OpenAI

Microsoft valuation overview

Share price		546							
Target price		632	**Microsoft Valuation Overview**						
Up/(down)side		16%							
		FY21	FY22	FY23	FY24	FY25	FY26	FY27e	FY28e
Revenue - Group	USDm	168,088	198,270	211,915	245,122	281,724	331,839	396,540	473,554
Growth y.y. (ccy)	%	-	-	-	15.3%	15.2%	16.2%	20.4%	19.4%
EBIT - GAAP	USDm	69,916	83,383	88,523	109,433	128,528	155,237	187,156	221,035
Margin	%	41.6%	42.1%	41.8%	44.6%	45.6%	46.8%	47.2%	46.7%
EBITA - BNPP adj.	USDm	70,926	84,876	91,794	113,230	133,257	158,938	189,651	222,686
Margin	%	42.2%	42.8%	43.3%	46.2%	47.3%	47.9%	47.8%	47.0%
EPS - GAAP - dil.	USD p/sh	8.06	9.64	9.68	11.82	13.64	17.95	19.96	23.42
EPS - ex-OpenAI dil.	**USD p/sh**	**8.06**	**9.64**	**9.68**	**11.82**	**14.13**	**17.28**	**19.93**	**23.42**
EPS - BNPP adj. - dil.	USD p/sh	8.17	9.31	10.02	12.25	14.60	17.34	20.21	23.60
FCF - Co.	USDm	56,118	65,149	59,475	74,071	71,611	66,987	2,457	(30)
FCF - BNPP	USDm	56,118	65,149	59,475	74,071	71,611	66,987	2,457	(30)
# shares	m	7,608	7,541	7,472	7,459	7,465	7,454	7,430	7,385
Market capitalisation (accounts currency)	USDm	1,718,099	2,226,571	1,995,357	2,810,253	3,151,971	3,413,624	3,926,506	3,900,636
Adjusted net debt (restated cash)	USDm	(72,188)	(54,976)	(64,025)	(23,913)	(51,414)	(36,549)	(42,516)	11,195
Adjusted lease liability	USDm	-	-	-	-	-	-	-	-
Other liabilities and commitments	USDm	-	-	-	-	-	-	-	-
Revalued minority interests	USDm	-	-	-	-	-	-	-	-
(Assoc. + revalued investments)	USDm	-	-	-	-	-	-	-	-
Enterprise Value (EV)	USDm	1,645,911	2,171,595	1,931,332	2,786,340	3,100,557	3,377,075	3,883,990	3,911,831
Implied multiples at current share price									
EV/Sales	x	9.8x	11.0x	9.1x	11.4x	11.0x	10.2x	9.8x	8.3x
EV/EBITA - BNPP adj.	x	23.2x	25.6x	21.0x	24.6x	23.3x	21.2x	20.5x	17.6x
EV/EBIT - GAAP	x	24x	26x	22x	25x	24x	22x	21x	18x
P/E - BNPP adj.	x	67x	59x	55x	45x	37x	32x	27x	23x
P/E - GAAP	x	68x	57x	56x	46x	40x	30x	27x	23x
FCF yield - Co.	%	3.3%	2.9%	3.0%	2.6%	2.3%	2.0%	0.1%	(0.0%)
FCF yield - BNPP	%	3.3%	2.9%	3.0%	2.6%	2.3%	2.0%	0.1%	(0.0%)
EV/FCF	x	29x	33x	32x	38x	43x	50x	1,581x	(128,294x)
Implied multiples at undiscounted target price									
EV/Sales	x	30.3x	25.6x	23.6x	20.6x	17.8x	15.1x	12.6x	10.6x
EV/EBITA - BNPP adj.	x	72x	60x	55x	45x	38x	32x	26x	23x
EV/EBIT - GAAP	x	73x	61x	57x	46x	39x	32x	27x	23x
P/E - BNPP adj.	x	83x	73x	68x	55x	47x	39x	34x	29x
P/E - GAAP	x	84x	70x	70x	57x	50x	38x	34x	29x
FCF yield - Co.	%	1.1%	1.3%	1.2%	1.5%	1.4%	1.3%	0.0%	(0.0%)
FCF yield - BNPP	%	1.1%	1.3%	1.2%	1.5%	1.4%	1.3%	0.0%	(0.0%)
EV/FCF	x	91x	78x	84x	68x	70x	75x	2,036x	(164,841x)

Reference multiple: P/E (BNPP)

Reference multiple: CY2027 P/E	**Target Multiple**	**Market Cap**
GAAP Price to Earnings Ratio	29x	$5,014,980
	No. Shares	7,385
	Implied TP	**$679**

OpenAI Valuation	Valuation	$852,000
Microsoft's stake in OpenAI	% Stake	23%
OpenAI contribution to Microsoft	**Implied TP**	**$26**

Discount Factor = WACC	%	10%
Price per share (undiscounted) - P/E based	USD	$679
Price per share (discounted) - P/E based	USD	$606
(+) OpenAI Stake	USD	$26
Target Price (discounted)	USD	**$632**
Discount period	Years	1.2

Source: Company reports, BNP Paribas Equity Research estimates

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Investment case, valuation and risks

Microsoft (Outperform, Target Price USD632)

Investment case

We see Microsoft as positioned to benefit from a leadership position in technologies with strong secular growth tailwinds, including Cloud Computing and Data Analytics (Azure, Synapse, Fabric), Software Development (GitHub, Visual Studio and the Windows Platform), Productivity (Office), Collaboration (Teams), Enterprise automation (Dynamics and Power Platform), Cyber Security, Advertising (Netflix and OpenAI partnerships, and own services like LinkedIn and Bing), and Gaming (Xbox and Activision). Microsoft is also now leveraging Generative AI across its products, which we believe will drive increased usage and ARPU increases. The company's OpenAI partnership will also likely help drive revenue growth acceleration. We also see Microsoft proactively managing its cost structure, despite accelerating depreciation costs, helping maintain margins at a high level. In addition, the company's communication is amongst the best in Big Tech, providing investors with a clearer understanding of investment priorities and shareholder return visibility.

Valuation methodology

We use a 29x NTM P/E multiple (using ex OpenAI gains and losses earnings) to value Microsoft, based on our FY28 EPS estimates, discounted back, and we also add value for Microsoft's stake in OpenAI.

Risks

To the upside:

Faster than expected uptake for Microsoft's Co-pilot would be a positive catalyst for the stock. Microsoft Azure's growth and market share gain could exceed our expectations, driving higher than expected revenue growth. Similarly, any of Dynamics, Office 365, Gaming, Devices, LinkedIn or Search Advertising could exceed our expectations in a given year or over a multi-year period. Greater market confidence around OpenAI, and OpenAI's ability to raise capital and achieve FCF break-even, would also help confidence.

To the downside:

The inability to meet demand, including difficulty accessing GPUs, may negatively impact Azure growth. The dependency on OpenAI for its GPT model also creates a strategic risk, while the increased dependence on Generative AI for growth also creates risk as it is still an unproven technology in the enterprise. Cyclical weakness in core businesses, such as Windows, could last longer than expected, weighing on growth and driving valuation pressure. Increasing investor concern around SaaS business models and headcount growth dependence is also a risk. Regulatory risk from competition concerns over hyperscalers' dominance of cloud workloads could also factor. Lastly the need to continuously innovate in a highly competitive market could weigh on long term profitability.

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IBM	IBM US	2; 3; 4; 7; 8; 9; 10
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Palo Alto Networks	PANW US	2; 3; 4; 7; 8; 9
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Snowflake	SNOW US	7; 9; 10
Synopsys	SNPS US	/
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Our coverage analysts use a rating system in which they rate stocks as Outperform, Neutral, or Underperform (as defined below) relative to other companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Outperform (O/P): The stock is expected to outperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Neutral: The stock is expected to perform in line with the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Underperform (U/P): The stock is expected to underperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

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ESG Rating Explanation and Methodology

ESG integration methodology: The BNP Paribas approach offers an alternative to mechanistic ESG scores and leverages the in-depth knowledge of our industry equity research teams by combining quantitative and qualitative factors. There are three steps to our framework; firstly, our teams build a materiality map to assess which ESG topics are most relevant to their respective industries. Secondly, for the chosen topics, companies are assessed relative to sector peers. The assessment can be based on metrics and qualitative judgements. Each company is given a one to five score per topic, with five being the best. Thirdly, based on the topic scores, and any other significant ESG factors, we identify companies in the sector as ESG Leaders, ESG Laggards or ESG Average. The definition of the ratings is shown below; they are not based on the average topic score as some topic scores can be more material than others.

ESG Leader: Relative to sector peers an ESG Leader is better positioned on the chosen ESG topics, or other relevant ESG considerations.

ESG Average: A company rated as ESG Average may have strong or poor performance on an individual ESG topic, but overall has an average exposure to ESG risks and opportunities.

ESG Laggard: Relative to sector peers an ESG Laggard is poorly positioned on the chosen ESG topics, or other relevant ESG considerations for the stock.

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Ratings	Stocks coverage		Investment Banking Services Within the previous 12 months	
	Counts	%*	Counts	%
Outperform (Buy)	751	53	164	22
Neutral (Hold)	476	33	104	22
Underperform (Sell)	200	14	40	20

* Please note that the percentages might not add up to 100% because of rounding.

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Price and Ratings Chart

Microsoft

Historical Closing Price & Target Price **(closing price as of 28/10/2026)**



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time) (2)		Rating (1)	Target Price	Closing Price	● Key Changes	Person(s) Involved
29 Oct 2026	(2)	+	USD632.00	USD531.01	TP up	S. Slowinski, D. Wang
6 Oct. 2026	05:27	+	USD604.00	USD529.30	TP up	S. Slowinski, D. Wang, K. Patton
16 Jul. 2026	05:26	+	USD549.00	USD401.10	TP down	S. Slowinski, D. Wang, K. Patton
30 Apr. 2026	22:42	+	USD555.00	USD407.78	TP down	S. Slowinski, D. Wang, K. Patton
10 Apr. 2026	14:14	+	USD556.00	USD370.87	TP down	S. Slowinski, D. Wang, K. Patton
26 Jan. 2026	21:43	+	USD659.00	USD470.28	TP up	S. Slowinski, D. Wang, K. Patton
3 Nov. 2025	05:56	+	USD632.00	USD517.03	TP up	S. Slowinski, D. Wang, K. Patton
1 Aug. 2025	11:51	+	USD630.00	USD524.11	TP up	S. Slowinski, D. Wang, K. Patton
28 Jul. 2025	05:41	+	USD625.00	USD512.50	TP up	S. Slowinski, D. Wang, K. Patton
26 Jun. 2025	21:19	+	USD606.00	USD497.45	TP up	S. Slowinski, D. Wang, K. Patton
2 May 2025	06:12	+	USD500.00	USD435.28	TP up	S. Slowinski, D. Wang, K. Patton
17 Apr. 2025	05:55	+	USD483.00	USD367.78	TP down	S. Slowinski, D. Wang, K. Patton
31 Jul. 2024	11:50	+	USD500.00	USD418.35	TP down	S. Slowinski, K. Patton
22 Jul. 2024	06:23	+	USD525.00	USD442.94	TP up	S. Slowinski, K. Patton
2 May 2024	05:59	+	USD495.00	USD397.84	TP up	S. Slowinski, K. Patton, B. Castillo-Bernaus
31 Jan. 2024	14:22	+	USD485.00	USD397.58	TP up	S. Slowinski, L. Lu, K. Patton
18 Jan. 2024	05:11	+	USD471.00	USD389.47	Rating up, TP up	S. Slowinski, B. Castillo-Bernaus, L. Lu, K. Patton
27 Oct. 2023	17:21	=	USD350.00	USD329.81	TP up	S. Slowinski, L. Lu, K. Patton

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

(2) Please refer to Cube for the dissemination time of this report.

Note:

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MICROSOFT (Outperform)

Price at 28 Oct. 26 / Target Price

Software - USA

USD531.0 / USD632 +19%

Company description

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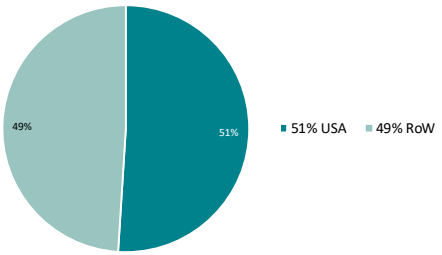
Management

Satya Nadella, CEO
Amy Hood, CFO
Scott Guthrie, Executive Vice President

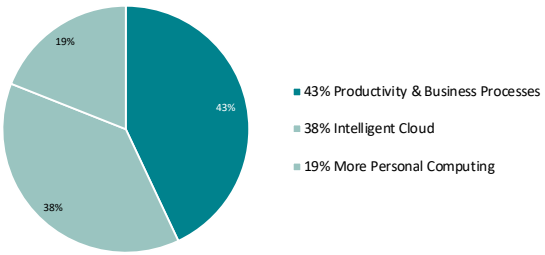
Ownership structure

Vanguard	8.1%
BlackRock	4.5%
Capital Group	4.0%
State Street Global Advisors	4.0%
Fidelity Management & Research	2.9%
T.Rowe Price	2.4%
Geode Capital Management	1.6%
Norges Bank IM	1.0%
Other Shareholders	71.5%

Revenue by geography - FY24/25



Revenue by reported segment - FY24/25



Analyst

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Peer group YTD performance

Stock	Price (28 Oct. 26)		YTD performance in EUR (%) Abs.	Rel. Sector
Crowdstrike (=)	USD	266.7	139.9	111
Nebius (+)	USD	182.3	129.7	102
Palo Alto (+)	USD	394.5	125.8	98
Datadog (+)	USD	278.4	115.8	90
Cloudflare (-)	USD	318.7	70.4	50
Navan (+)	USD	27.0	66.7	46
Snowflake (+)	USD	339.9	63.4	44
Dynatrace (+)	USD	62.8	52.8	34
Veeva Systems (+)	USD	317.8	50.1	32
Atlassian (+)	USD	220.1	43.1	26
Samsara (+)	USD	43.0	27.9	12
Zoom (-)	USD	100.3	22.5	8
Zscaler (+)	USD	255.8	19.9	5
PTC (=)	USD	195.0	18.0	4
Microsoft (+)	**USD**	**531.0**	**16.3**	2
Cadence Design (+)	USD	342.5	15.5	1
Bentley Systems (+)	USD	39.4	9.4	(4)
Synopsys (=)	USD	481.9	8.2	(5)
ServiceNow (+)	USD	150.1	3.3	(9)
Workiva (+)	USD	83.9	2.6	(10)
Workday (+)	USD	204.4	0.3	(12)
Salesforce (+)	USD	242.1	(3.2)	(15)
CoreWeave (+)	USD	63.9	(5.9)	(17)
IBM (-)	USD	253.2	(8.6)	(20)
Autodesk (+)	USD	242.4	(13.7)	(24)
Oracle (+)	USD	144.5	(21.1)	(31)
Vertex (+)	USD	14.8	(21.8)	(31)
Adobe (=)	USD	249.8	(24.8)	(34)
HubSpot (=)	USD	249.0	(34.6)	(43)
Intuit (=)	USD	328.2	(47.2)	(54)

Sector calendar

03 Nov. 26	**TeamViewer**: Q3 Results 2026 (07:00 CET)
	TeamViewer ADR: Q3 Results 2026 (07:00 CET)
	Jack Henry & As: Q1 Earnings 2027 (22:00 CET)
04 Nov. 26	**Datadog**: Q3 Earnings 2026 (12:00 CET)
	PTC: Q4 Earnings 2026 (22:00 CET)
05 Nov. 26	**Nemetschek**: Q3 Results 2026 (07:00 CET)
06 Nov. 26	**Amadeus**: Q3 Results 2026
	Amadeus ADR: Q3 Results 2026
09 Nov. 26	**Kainos**: KNOS LN - Results 2027 H1 (01:00 CET)
17 Nov. 26	**Dassault Sys**: Capital Markets Day
	Dassault ADR: Capital Markets Day
19 Nov. 26	**Sage**: Preliminary Results 2025/26 (08:00 CET)
	Jack Henry & As: AGM (18:00 CET)
03 Dec. 26	**Paylocity Holdi**: AGM (15:30 CET)
08 Dec. 26	**Microsoft**: AGM (17:30 CET)
09 Dec. 26	**Adobe**: Q4 Earnings 2026 (22:00 CET)

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Price at 28 Oct. 26 / 12m Target Price

USD531.0 / USD632 +19%

MICROSOFT (Outperform)

Software - USA

Refinitiv / Bloomberg: MSFT.O / MSFT US

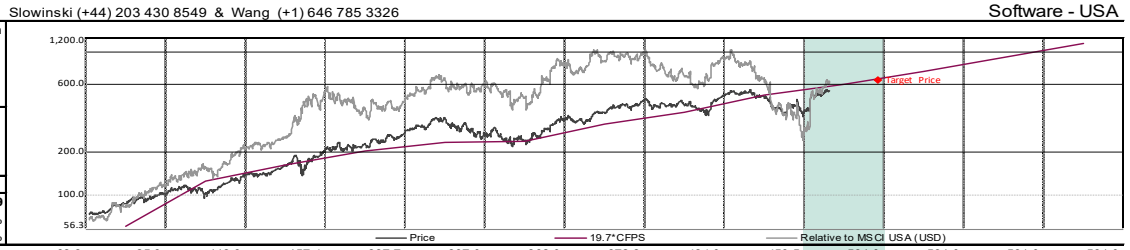
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Company Highlights	USDm / EURm
Enterprise value	3,883,990 / 3,486,697
Market capitalisation	3,926,506 / 3,524,864
Free float	3,923,365 / 3,522,044
3m average volume	12,485 / 11,208

Performance (*)	1m	3m	12m
Absolute	4%	35%	(1%)
Rel. Sector	(1%)	3%	2%
Rel. MSCI USA	3%	30%	(13%)

12m Hi/Lo (USD) : 543.5 -2% / 352.8 +51%

CAGR	1992/2026	2026/2029
EPS restated	NC	18%
CFPS	NC	25%



Price (yearly avg from Jun. 17 to Jun. 26)	*62.3*	*85.9*	*112.9*	*157.4*	*227.7*	*297.0*	*268.0*	*378.2*	*424.0*	*459.5*	*531.0*	*531.0*	*531.0*	*531.0*
PER SHARE DATA (USD)	**Jun. 17**	**Jun. 18**	**Jun. 19**	**Jun. 20**	**Jun. 21**	**Jun. 22**	**Jun. 23**	**Jun. 24**	**Jun. 25**	**Jun. 26**	**Jun. 27e**	**Jun. 28e**	**Jun. 29e**	**Jun. 30e**
No of shares year end, basic, (m)	7 746.000	7 715.652	7 655.000	7 580.000	7 527.000	7 474.000	7 434.000	7 433.000	7 432.000	7 427.000	7 394.411	7 346.137	7 289.855	7 223.562
Avg no of shares, diluted, excl. treasury stocks (m)	7 837.750	7 771.583	7 752.000	7 681.500	7 607.750	7 540.500	7 472.250	7 458.500	7 465.000	7 453.500	7 430.150	7 384.712	7 331.656	7 269.312
EPS reported, Gaap	*3.25*	*2.12*	*5.06*	*5.76*	*8.06*	*9.64*	*9.68*	*11.82*	*13.64*	*17.95*	*19.96*	*23.42*	*27.67*	*33.01*
EPS company definition	*3.25*	*2.12*	*5.06*	*5.76*	*8.06*	*9.64*	*9.68*	*11.82*	*13.64*	*17.95*	*19.96*	*23.42*	*27.67*	*33.01*
EPS restated, fully diluted	3.33	4.09	5.19	5.87	8.17	9.31	10.02	12.25	14.60	17.34	20.21	23.60	27.82	33.14
% change	*19.7%*	*22.8%*	*26.8%*	*13.1%*	*39.1%*	*14.0%*	*7.6%*	*22.2%*	*19.2%*	*18.8%*	*16.6%*	*16.7%*	*17.9%*	*19.1%*
Book value (BVPS) (a)	11.3	10.7	13.4	15.6	18.9	22.3	27.7	36.1	46.2	59.6	75.3	94.3	117.3	142.3
Net dividend	1.55	1.68	1.84	2.04	2.24	2.48	2.72	3.00	3.32	3.64	3.97	4.34	4.76	5.23
STOCKMARKET RATIOS	**Jun. 17**	**Jun. 18**	**Jun. 19**	**Jun. 20**	**Jun. 21**	**Jun. 22**	**Jun. 23**	**Jun. 24**	**Jun. 25**	**Jun. 26**	**Jun. 27e**	**Jun. 28e**	**Jun. 29e**	**Jun. 30e**
P / E (P/ EPS restated)	18.7x	21.0x	21.8x	26.8x	27.9x	31.9x	26.7x	30.9x	29.0x	26.5x	26.3x	22.5x	19.1x	16.0x
P / E relative to MSCI USA	95%	95%	116%	135%	88%	159%	130%	120%	122%	93%	120%	121%	120%	116%
P / CF	14.1x	28.5x	18.1x	19.5x	22.3x	25.3x	22.3x	24.2x	22.4x	18.2x	17.8x	14.3x	11.4x	9.1x
FCF yield	6.5%	4.9%	4.4%	3.8%	3.3%	2.9%	3.0%	2.6%	2.3%	2.0%	0.1%	(0.0%)	0.7%	2.2%
P / BVPS	5.50x	8.01x	8.45x	10.09x	12.07x	13.33x	9.66x	10.47x	9.17x	7.71x	7.05x	5.63x	4.53x	3.73x
Net yield	2.5%	2.0%	1.6%	1.3%	1.0%	0.8%	1.0%	0.8%	0.8%	0.8%	0.7%	0.8%	0.9%	1.0%
Payout	46.6%	40.9%	35.4%	34.7%	27.4%	26.6%	27.1%	24.5%	22.7%	21.0%	19.6%	18.4%	17.1%	15.8%
EV / Sales	4.52x	5.48x	6.40x	7.87x	9.79x	10.95x	9.11x	11.37x	11.01x	10.18x	9.79x	8.26x	6.95x	5.83x
EV / Restated EBITDA	11.7x	13.5x	14.9x	17.3x	20.3x	22.3x	18.7x	21.3x	19.2x	17.5x	16.1x	12.8x	10.2x	8.2x
EV / Restated EBITA	14.4x	16.5x	18.2x	20.9x	23.2x	25.6x	21.0x	24.6x	23.3x	21.2x	20.5x	17.6x	14.8x	12.4x
EV / NOPAT	16.9x	19.7x	20.3x	25.0x	26.9x	29.4x	26.0x	30.1x	28.2x	26.4x	25.6x	22.0x	18.5x	15.5x
EV / OpFCF	12.9x	15.8x	17.3x	19.5x	23.6x	26.8x	23.7x	29.8x	33.3x	34.1x	94.3x	81.4x	44.6x	25.0x
EV / Capital employed (incl. gross goodwill)	6.6x	8.8x	9.3x	12.1x	14.1x	13.5x	10.1x	9.1x	8.4x	7.0x	6.5x	5.0x	4.0x	3.3x
ENTERPRISE VALUE (USDm)	**436,286**	**604,282**	**804,845**	**1,124,872**	**1,645,911**	**2,171,595**	**1,931,332**	**2,786,340**	**3,100,557**	**3,377,075**	**3,883,990**	**3,912,067**	**3,914,734**	**3,864,140**
Market cap	483,073	661,810	866,486	1,198,072	1,718,099	2,226,571	1,995,357	2,810,253	3,151,971	3,413,624	3,926,506	3,900,872	3,870,986	3,835,784
+ Adjusted net debt	(46,787)	(57,528)	(61,641)	(73,200)	(72,188)	(54,976)	(64,025)	(23,913)	(51,414)	(36,549)	(42,516)	11,195	43,748	28,356
+ Other liabilities and commitments														
+ Revalued minority interests														
- Revalued investments	0	0	0	0	0	0	0	0	0	0	0	0	0	0
P & L HIGHLIGHTS (USDm)	**Jun. 17**	**Jun. 18**	**Jun. 19**	**Jun. 20**	**Jun. 21**	**Jun. 22**	**Jun. 23**	**Jun. 24**	**Jun. 25**	**Jun. 26**	**Jun. 27e**	**Jun. 28e**	**Jun. 29e**	**Jun. 30e**
Sales	**96,571**	**110,360**	**125,843**	**143,015**	**168,088**	**198,270**	**211,915**	**245,122**	**281,724**	**331,839**	**396,540**	**473,554**	**562,988**	**663,036**
Restated EBITDA (b)	**37,439**	**44,619**	**53,888**	**65,145**	**81,012**	**97,336**	**103,155**	**130,717**	**161,410**	**192,772**	**241,239**	**304,736**	**382,069**	**469,689**
Depreciation	(7,078)	(8,061)	(9,782)	(11,196)	(10,086)	(12,460)	(11,361)	(17,487)	(28,153)	(33,834)	(51,588)	(82,050)	(117,522)	(157,263)
Restated EBITA (b)	**30,361**	**36,558**	**44,106**	**53,949**	**70,926**	**84,876**	**91,794**	**113,230**	**133,257**	**158,938**	**189,651**	**222,686**	**264,547**	**312,426**
Reported operating profit (loss)	29,025	35,058	42,959	52,959	69,916	83,383	88,523	109,433	128,528	155,237	187,156	221,035	263,098	311,175
Net financial income (charges)	0	(983)	81	45	(46)	(128)	528	(1,528)	(4,552)	6,312	(1,554)	(4,882)	(9,556)	(11,286)
Affiliates														
Other	0	2,399	648	32	1,232	461	260	(118)	(349)	4,385	(46)	0	0	0
Tax	(4,412)	(19,903)	(4,448)	(8,755)	(9,831)	(10,978)	(16,950)	(19,651)	(21,795)	(32,185)	(37,245)	(43,231)	(50,709)	(59,978)
Minorities														
Net attributable profit reported	24,613	16,571	39,240	44,281	61,271	72,738	72,361	88,136	101,832	133,749	148,312	172,923	202,834	239,911
Net attributable profit restated (c)	**26,117**	**31,812**	**40,231**	**45,107**	**62,142**	**70,212**	**74,869**	**91,336**	**109,010**	**129,256**	**150,177**	**174,244**	**203,993**	**240,912**
CASH FLOW HIGHLIGHTS (USDm)	**Jun. 17**	**Jun. 18**	**Jun. 19**	**Jun. 20**	**Jun. 21**	**Jun. 22**	**Jun. 23**	**Jun. 24**	**Jun. 25**	**Jun. 26**	**Jun. 27e**	**Jun. 28e**	**Jun. 29e**	**Jun. 30e**
EBITDA (reported)	**38,109**	**45,319**	**54,641**	**65,755**	**81,602**	**97,843**	**103,707**	**131,720**	**162,681**	**193,771**	**241,913**	**305,182**	**382,460**	**470,026**
EBITDA adjustment (b)	**(670)**	**(700)**	**(753)**	**(610)**	**(590)**	**(507)**	**(552)**	**(1,003)**	**(1,271)**	**(999)**	**(674)**	**(446)**	**(391)**	**(338)**
Other items	(408)	(15,183)	2,755	9,424	10,279	7,222	8,889	5,436	1,635	26,993	18,840	17,262	20,343	23,863
Change in WCR	4,876	20,467	3,866	(1,483)	(936)	446	(2,388)	1,824	(5,350)	(4,895)	(6,685)	(1,622)	(4,944)	(7,681)
Operating cash flow	**41,907**	**49,903**	**60,509**	**73,086**	**90,355**	**105,004**	**109,656**	**137,977**	**157,695**	**214,870**	**253,393**	**320,375**	**397,468**	**485,871**
Capex	(8,129)	(11,632)	(13,925)	(15,441)	(20,622)	(23,886)	(28,107)	(44,477)	(64,551)	(115,948)	(212,227)	(272,294)	(309,643)	(331,518)
Operating free cash flow (OpFCF)	**33,778**	**38,271**	**46,584**	**57,645**	**69,733**	**81,118**	**81,549**	**93,500**	**93,144**	**98,922**	**41,166**	**48,082**	**87,824**	**154,353**
Net financial items + tax paid	(2,400)	(6,019)	(8,324)	(12,411)	(13,615)	(15,969)	(22,074)	(19,429)	(21,533)	(31,935)	(38,709)	(48,112)	(60,264)	(71,264)
Free cash flow	**31,378**	**32,252**	**38,260**	**45,234**	**56,118**	**65,149**	**59,475**	**74,071**	**71,611**	**66,987**	**2,457**	**(30)**	**27,560**	**83,089**
Net financial investments & acquisitions	(38,455)	5,669	(1,848)	4,459	(6,033)	(3,600)	8,543	(51,195)	(10,365)	(3,691)	50,351	0	0	0
Other	11,800	(4,958)	(707)	(2,855)	(10,842)	(31,631)	(20,029)	(28,734)	4,761	(30,549)	0	0	0	0
Capital increase (decrease)	(11,016)	(9,719)	(18,401)	(21,625)	(25,692)	(30,855)	(20,379)	(15,252)	(16,364)	(20,262)	(17,981)	(21,700)	(25,300)	(29,800)
Dividends paid	(11,845)	(12,699)	(13,811)	(15,137)	(16,521)	(18,135)	(19,800)	(21,771)	(24,082)	(26,445)	(28,861)	(31,980)	(34,813)	(37,898)
Increase (decrease) in net financial debt	**18,138**	**(10,545)**	**(3,493)**	**(10,076)**	**2,970**	**19,072**	**(7,810)**	**42,881**	**(25,561)**	**13,960**	**(5,967)**	**53,711**	**32,553**	**(15,391)**
Cash flow, group share	**34,631**	**23,417**	**48,319**	**62,158**	**77,676**	**88,589**	**89,970**	**116,724**	**141,512**	**187,830**	**221,370**	**273,885**	**342,148**	**422,288**
BALANCE SHEET HIGHLIGHTS (USDm)	**Jun. 17**	**Jun. 18**	**Jun. 19**	**Jun. 20**	**Jun. 21**	**Jun. 22**	**Jun. 23**	**Jun. 24**	**Jun. 25**	**Jun. 26**	**Jun. 27e**	**Jun. 28e**	**Jun. 29e**	**Jun. 30e**
Net operating assets	75,517	79,882	93,632	103,293	128,314	166,368	187,239	301,369	371,902	475,513	582,633	770,779	961,061	1,133,727
WCR	(9,833)	(11,154)	(7,448)	(10,035)	(11,438)	(5,509)	4,694	4,307	(1,088)	10,074	16,759	18,382	23,326	31,007
Restated capital employed, incl. gross goodwill	**65,684**	**68,728**	**86,184**	**93,258**	**116,876**	**160,859**	**191,933**	**305,676**	**370,814**	**485,587**	**599,392**	**789,161**	**984,387**	**1,164,734**
Shareholders' funds, group share	87,711	82,718	102,330	118,304	141,988	166,542	206,223	268,477	343,479	442,387	556,678	692,736	855,409	1,027,623
Minorities	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Provisions/ Other liabilities	25,411	39,832	41,956	43,448	43,431	44,695	46,886	60,215	76,717	99,565	106,506	106,506	106,506	130,032
Net financial debt (cash)	(41,415)	(51,960)	(55,453)	(65,529)	(62,559)	(43,487)	(51,297)	(8,416)	(33,977)	(20,017)	(25,984)	27,727	60,280	44,888
FINANCIAL RATIOS (%)	**Jun. 17**	**Jun. 18**	**Jun. 19**	**Jun. 20**	**Jun. 21**	**Jun. 22**	**Jun. 23**	**Jun. 24**	**Jun. 25**	**Jun. 26**	**Jun. 27e**	**Jun. 28e**	**Jun. 29e**	**Jun. 30e**
Sales (% change)	5.9%	14.3%	14.0%	13.6%	17.5%	18.0%	6.9%	15.7%	14.9%	17.8%	19.5%	19.4%	18.9%	17.8%
Organic sales growth														
Restated EBITA (% change)	8.7%	20.4%	20.6%	22.3%	31.5%	19.7%	8.2%	23.4%	17.7%	19.3%	19.3%	17.4%	18.8%	18.1%
Restated attributable net profit (% change)	16.8%	21.8%	26.5%	12.1%	37.8%	13.0%	6.6%	22.0%	19.4%	18.6%	16.2%	16.0%	17.1%	18.1%
Personnel costs / Sales	21.0%	20.1%	18.4%	17.3%	15.0%	14.0%	14.3%	13.1%	11.7%	10.4%	8.9%	7.9%	7.1%	6.3%
Restated EBITDA margin	38.8%	40.4%	42.8%	45.6%	48.2%	49.1%	48.7%	53.3%	57.3%	58.1%	60.8%	64.4%	67.9%	70.8%
Restated EBITA margin	31.4%	33.1%	35.0%	37.7%	42.2%	42.8%	43.3%	46.2%	47.3%	47.9%	47.8%	47.0%	47.0%	47.1%
Tax rate	15.2%	54.6%	10.2%	16.5%	13.8%	13.1%	19.0%	18.2%	17.6%	19.4%	20.1%	20.0%	20.0%	20.0%
Net margin	27.0%	28.8%	32.0%	31.5%	37.0%	35.4%	35.3%	37.3%	38.7%	39.0%	37.9%	36.8%	36.2%	36.3%
Capex / Sales	8.4%	10.5%	11.1%	10.8%	12.3%	12.0%	13.3%	18.1%	22.9%	34.9%	53.5%	57.5%	55.0%	50.0%
OpFCF / Sales	35.0%	34.7%	37.0%	40.3%	41.5%	40.9%	38.5%	38.1%	33.1%	29.8%	10.4%	10.2%	15.6%	23.3%
WCR / Sales	(10.2%)	(10.1%)	(5.9%)	(7.0%)	(6.8%)	(2.8%)	2.2%	1.8%	(0.4%)	3.0%	4.2%	3.9%	4.1%	4.7%
Capital employed (excl. gdw./intangibles) / Sales	21.2%	22.6%	28.9%	30.0%	35.3%	41.4%	54.1%	64.8%	81.2%	104.7%	117.1%	138.6%	151.6%	156.1%
ROE	29.8%	38.5%	39.3%	38.1%	43.8%	42.2%	36.3%	34.0%	31.7%	29.2%	27.0%	25.2%	23.8%	23.4%
Gearing	(53%)	(70%)	(60%)	(62%)	(51%)	(33%)	(31%)	(9%)	(15%)	(8%)	(8%)	2%	5%	3%
EBITDA / Financial charges	NC	86.0x	NC	NC	NS	NC	NC	NC	NC	NC	NS	62.4x	40.0x	41.6x
Adjusted financial debt / EBITDA	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	NC	0.0x	0.1x	0.1x
ROCE, excl. gdw./intangibles	125.9%	122.9%	108.8%	105.1%	103.0%	89.9%	64.9%	58.3%	48.0%	36.9%	32.6%	27.1%	24.8%	24.1%
ROCE, incl. gross goodwill	39.2%	44.7%	46.0%	48.3%	52.3%	45.8%	38.7%	30.3%	29.6%	26.4%	25.3%	22.6%	21.5%	21.5%
WACC	5.4%	5.5%	5.9%	5.9%	5.4%	5.5%	6.8%	6.8%	6.5%	6.6%	6.4%	6.4%	6.4%	6.4%

Latest Model update: 29 Oct. 26

(a) Intangibles: USD138,260.00m, or USD19 per share. (b) adjusted for capital gains/losses, exceptional restructuring charges, capitalized R&D; EBITA also adjusted for impairments and am. of intangibles from M&A
(c) after EBITA adjustments and financial result/tax adjustments, (*) In listing currency, with div. reinvested

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